

30 October 2025



Pricol Ltd



Company Name	Pricol Ltd
Symbol	PRICOLLTD
Sector	Consumer Discretionary
Basket	Swift

Current Price	₹540.30
Target	₹600.00
View	Bullish
Time Frame	1-2 months

Market Cap (Cr.)	P/E	ROE	ROCE	EPS (₹)
₹ 6,563 Cr.	38.30	17.6 %	22.9 %	13.70

About Company

Pricol is one of India's leading automotive technology, precision engineered products and solutions Company, headquartered in Coimbatore, India. Commencing operations in the year 1975 and being committed to attain leadership and excellence, the Company has evolved into a reputed brand in the global automotive industry. By being customer centric and pushing the boundaries on product and process technology and innovation. Today Pricol is recognized as a preferred partner to many leading automotive Original Equipment Manufacturers (OEMs) across the world.

PROS

- Strong revenue outperformance against the auto industry peers.
- Regulatory push through ABS norms drives growth.
- Innovation pipeline supports premium product transition.
- P3L integration adds scale and cost advantages.
- Exports offer diversification and margin upside potential.

CONS

- Revenue dependence on two-wheeler clients remains high.
- Margins under pressure from P3L phase-in.
- Supply risk tied to Chinese component imports.
- Elevated employee costs affect short-term profitability.
- Competitive pricing limits earnings expansion potential.



Strengths

- Pricol delivered 45.6% YoY revenue growth to ₹877.66 crore, far surpassing industry growth below 2%.
- The company maintained a strong 11.6% EBITDA margin despite rare earth cost pressures.
- A balanced mix across two-wheelers, CVs, PVs, and tractors ensures revenue stability.
- Innovations in DIS, BMS, and ABS systems strengthen long-term competitiveness.
- Integration of P3L is already boosting margins and operational synergies.

Weaknesses

- Pricol remains highly dependent on its top three two-wheeler OEM clients for revenue.
- Export share is limited to 7–8%, reducing global diversification benefits.
- P3L's margins continue to trail standalone operations with no clear convergence timeline.
- Heavy reliance on rare earth imports and Chinese display components poses cost and supply risks.
- Elevated employee costs at 12% weigh on short-term profitability.

Opportunities

- The upcoming ABS regulation from January 2026 offers strong two-wheeler demand potential.
- The Domino partnership opens a premium market in handlebar control systems.
- Expanding export reach in the US and EU can lift export contribution beyond 8%.
- Premiumization trends favor Pricol's electronic driver information and smart cockpit systems.
- Ample 20–22% capacity headroom allows growth without major additional capital expenditure.

Threats

- Ongoing rare earth shortages from China threaten OEM production continuity and input costs.
- Domestic two-wheeler demand may stay muted amid broader macroeconomic weakness.
- Global geopolitical or tariff shifts could disrupt export margins and sourcing stability.
- Fierce competition from established ABS and display manufacturers limits pricing power.
- Forex fluctuations may erode margins on imported materials and export revenues.



Sales Growth



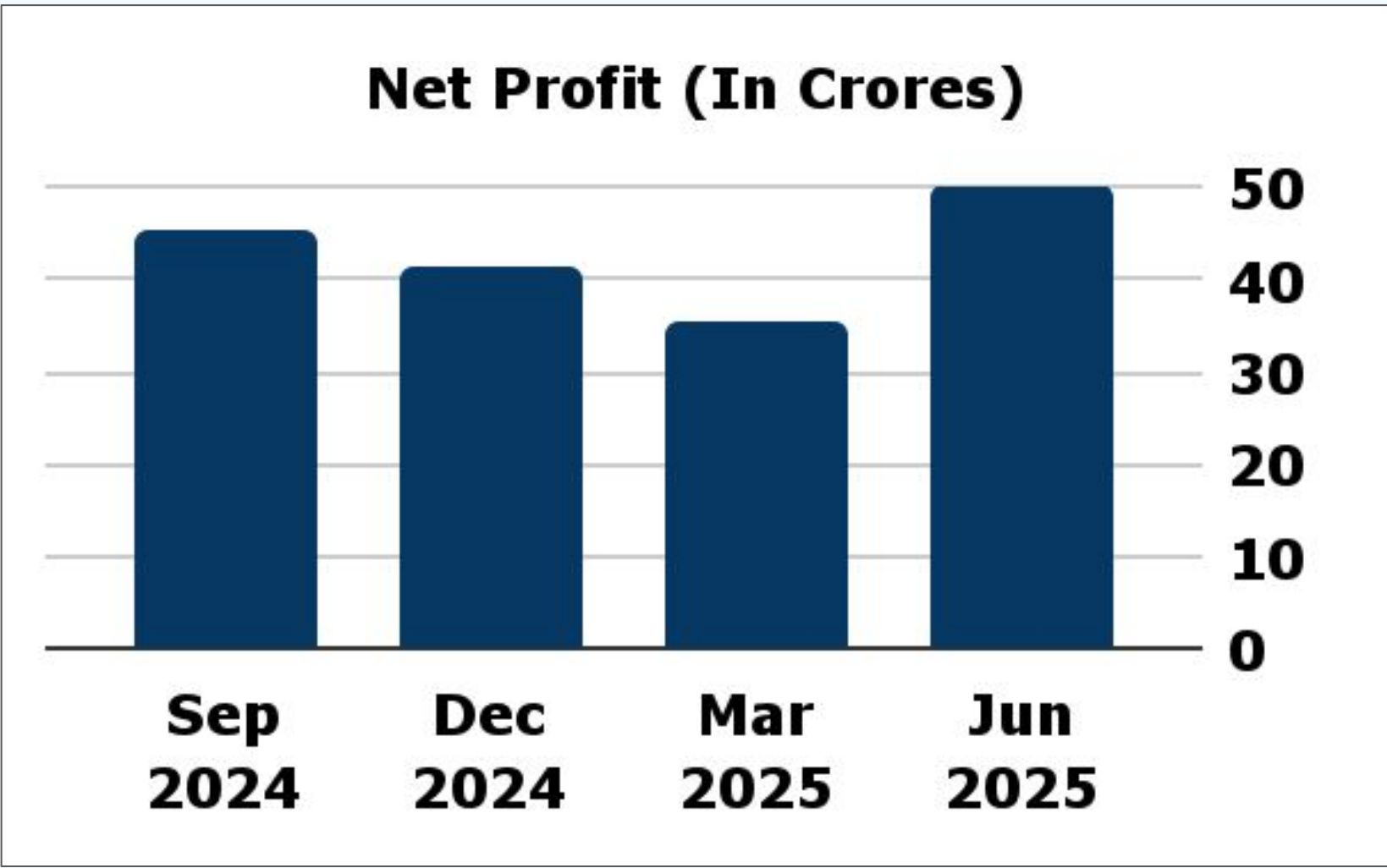
Pricol's quarterly revenue rose impressively from ₹769 crore to ₹895 crore, marking strong sequential growth driven by higher OEM demand and improved product mix. This reflects robust execution across segments, especially in actuation and display systems, demonstrating the company's ability to outperform the broader automotive market despite supply-side challenges.

Operating Profit



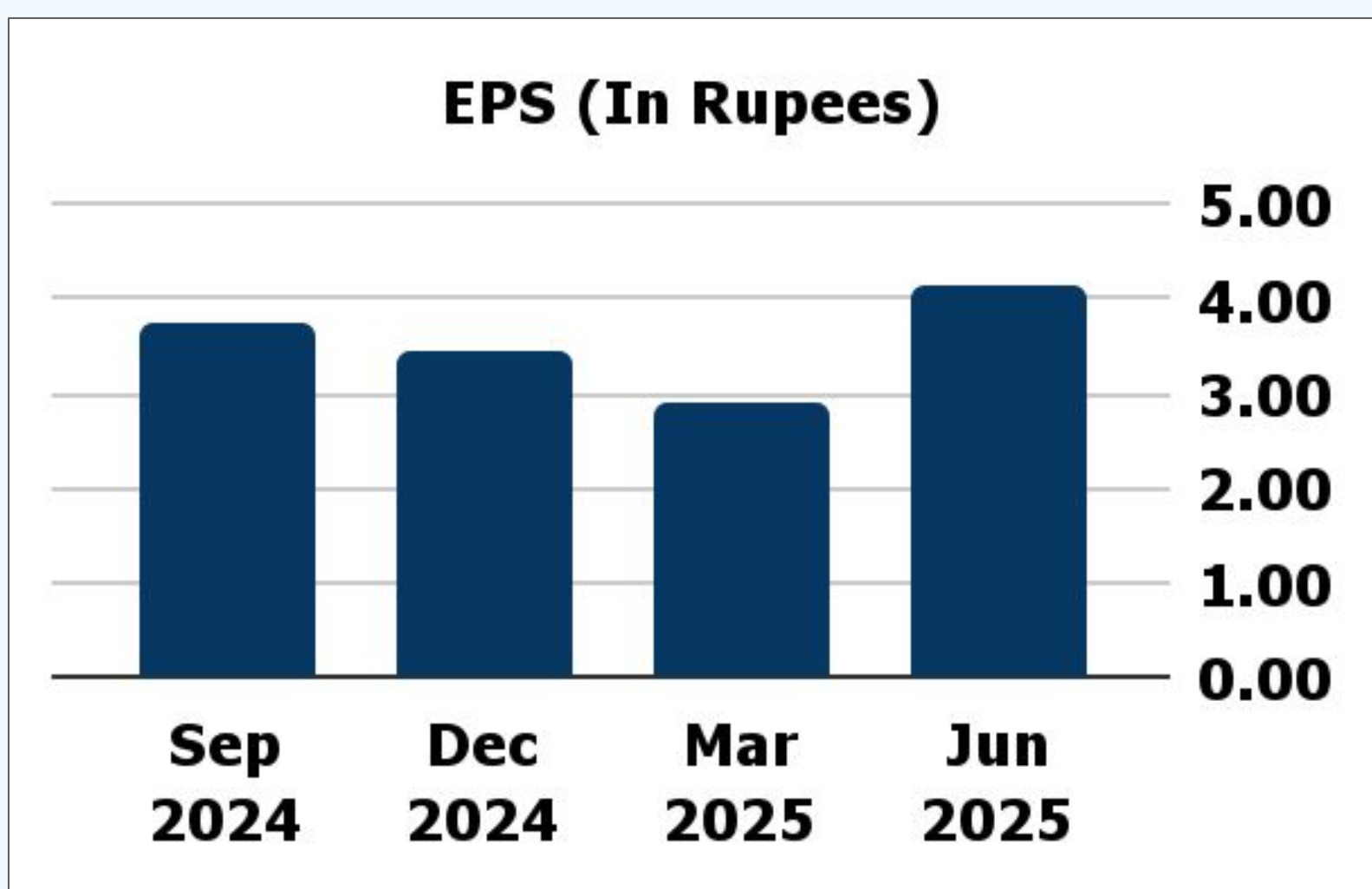
Operating profit improved from ₹80 crore to ₹99 crore, showcasing strong operational leverage and margin recovery. The growth highlights better cost efficiency, favorable product mix, and synergies from the P3L integration. Sustained EBITDA margin improvement signals efficient utilization of resources and rising contribution from high-value electronic components and export-driven revenue.

Net Profit



Net profit rose from ₹35 crore to ₹50 crore, reflecting strong growth and cost control. Improved margins and solid operations drove profitability. This steady momentum highlights management's focus on premiumization, diversification, and integration, positioning Pricol for sustained earnings growth ahead.

EPS (Earning Per Share)



Earnings per share dropped from ₹1.45 in the previous quarter to a negative ₹1.31, reflecting the company's swing into losses. The fall in EPS mirrors the overall downturn in operational and net performance, indicating subdued quarterly profitability and pressure on shareholder returns in the short term.



Yearly Financial Statement Analysis

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Yearly Performance (In Crores)

Particular	Mar 2021	Mar 2022	Mar 2023	Mar 2024	Mar 2025
Sales	1,413	1,545	1,959	2,272	2,692
Expenses	1,224	1,362	1,730	1,986	2,379
Operating Profit	189	183	229	285	313
OPM %	13.00%	12.00%	12.00%	13.00%	12.00%
Other Income	22	7	14	1	17
Interest	43	27	18	18	13
Depreciation	94	82	78	82	90
Profit before tax	74	80	147	186	227
Tax %	44.00%	36.00%	15.00%	24.00%	26.00%
Net Profit	42	51	125	141	167
EPS in Rs	3	4	10	12	14
Dividend Payout %	0.00%	0.00%	0.00%	0.00%	0.00%

Cash Flow Statement (In Crores)

Particular	Mar 2022	Mar 2023	Mar 2024	Mar 2025
Cash from Operating Activity +	183	163	255	309
Cash from Investing Activity +	-45	-66	-129	-377
Cash from Financing Activity +	-154	-64	-69	56
Net Cash Flow	-16	33	57	-11

Commentary for Yearly Performance

For the year ending March 2025, the company delivered a robust financial performance. Revenue grew from ₹2,272 crore in FY24 to ₹2,692 crore in FY25, driven by volume growth and improved pricing. Expenses increased from ₹1,986 crore to ₹2,379 crore, reflecting higher input costs and expansion initiatives. Despite this, net profit rose from ₹141 crore to ₹167 crore, indicating effective cost management and operational efficiency. Earnings per share also improved from ₹11.54 to ₹13.70, highlighting the company's strong profitability and consistent value creation for shareholders, supported by strategic execution and efficient financial management.

Commentary for Yearly Cash Flow

The company's cash flow from operating activities improved from ₹255 crore in FY24 to ₹309 crore in FY25, showcasing enhanced operational efficiency and better working capital management. However, the net cash flow turned negative at ₹-11 crore compared to ₹57 crore in the previous year, primarily due to increased capital expenditure or investment outflows. Despite the dip in net cash, the strong operating cash generation underscores the company's sound financial fundamentals and ability to sustain business growth while continuing to invest strategically in future capacity, innovation, and infrastructure development for long-term value creation.

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Key Highlights

NEWS

Pricol Limited has signed an MoU with BOE Varitronix Limited to localize optical bonding of LCD/TFT displays in India. The partnership spans multiple vehicle segments, focusing initially on optical bonding (OCA) and potentially expanding to backend assembly. BOE's expertise in display technologies will help Pricol enhance innovation, cost efficiency, and competitiveness in the domestic automotive market. The collaboration is not a related party transaction and involves no monetary consideration, aligning with Pricol's strategy to strengthen localized production and product development capabilities.

Markets Mojo has upgraded Pricol Ltd's evaluation to a 'Buy' rating, citing consistent revenue growth, strong profitability, and prudent financial management. The company reported robust quarterly results, with revenue rising to ₹895 crore and operating profit improving to nearly ₹99 crore. Pricol's debt-to-EBITDA ratio of 0.36x highlights its healthy balance sheet and operational efficiency. The upgrade reflects growing investor confidence in its strategic focus on technology-driven automotive components, margin improvement, and expansion into new markets. Analysts believe these factors position Pricol for sustained earnings growth and stronger market competitiveness in India's evolving mobility ecosystem.

Pricol Ltd has announced that its Board of Directors will meet on 6 November 2025 to consider and approve the company's unaudited financial results for the quarter and half-year ended 30 September 2025. This meeting will provide key insights into the company's second-quarter performance, cost management, and progress on strategic initiatives such as the BOE Varitronix partnership. Investors are closely watching this event for updates on revenue momentum, operating margins, and future guidance. The board meeting will be followed by an investor and analyst conference call, where management is expected to discuss business outlook, order pipeline, and product innovation roadmap.

Shareholding Pattern

Particular	Jun 2024	Sep 2024	Dec 2024	Mar 2025	Jun 2025	Sep 2025
Promoters +	38.51%	38.51%	38.51%	38.51%	38.51%	38.51%
FIs +	15.01%	15.74%	15.88%	16.26%	16.06%	16.53%
DIs +	16.45%	15.70%	16.39%	15.66%	15.50%	14.55%
Public +	30.01%	30.05%	29.22%	29.57%	29.92%	30.39%



Technical Chart



Commentary

The Daily chart analysis for PRICOL suggests that the prices has formed a Falling Channel Breakout.

PRICOL current price of 540.30 is trading above 50 MA and 200 MA. Furthermore, following a bullish pattern, bullish move can be expected.

The MACD on the Daily chart has might get bullish crossover above the zero line.

A long position can be executed above 540.30 with a target 600 and support at 500 acting as a stop loss.



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